FINANCE COMMISSION

FISCAL-FEDERAL GAPS AND THE → ARTICLE 280 INSTITUTION AND → DIVISIBLE POOL AND TWO-STAGE → HORIZONTAL FORMULA: EQUITY, COST → GRANTS UNDER ARTICLES 275 → LOCAL-BODY AUGMENTATION THROUGH STATE

Read the thick cyan rail from Stage 90 to the final core synthesis. Each yard uses a concept-appropriate structure: the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW ● SUBORDINATE EXTRA ● APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g4 and all prior artifacts unchanged

00 STAGE 00 — FISCAL-FEDERAL GAPS AND THE CONSTITUTIONAL ARTICLE CHAIN

FISCAL-FEDERAL GAPS AND THE CONSTITUTIONAL ARTICLE CHAIN · ROOT PROBLEM · UNION HAS BROADER BUOYANT TAXES; STATES CARRY SERVICE-HEAVY EXPENDITURE · VERTICAL IMBALANCE · UNION VERSUS ALL STATES · SIZE OF STATES' COLLECTIVE SHARE. · HORIZONTAL IMBALANCE DIFFERENCES AMONG STATES · INTER SE DISTRIBUTION FORMULA.

ROOT PROBLEM

Union has broader buoyant taxes; States carry service-heavy expenditure duties. → VERTICAL IMBALANCE → Union versus all States → size of States' collective share.

CONSTITUTIONAL BASIS / ARTICLE

- ROOT PROBLEM
- Union has broader buoyant taxes; States carry service-heavy expenditure duties.
- VERTICAL IMBALANCE
- Union versus all States → size of States' collective share.

POWER / PROCEDURE

- HORIZONTAL IMBALANCE differences among States → inter se distribution formula.
- ARTICLE CHAIN
- 270 divisible taxes
- 271 Union surcharges

CHECK / LIMIT

- 275 grants-in-aid
- 279 net proceeds and CAG certification
- 280 Finance Commission
- 281 report + explanatory memorandum

FEDERAL / RIGHTS IMPACT

- 282 public-purpose grants.
- CORE DISTINCTION gross tax revenue != net proceeds != divisible pool != State share != grants.
- MUST REMEMBER: Keep Article 280 Finance Commission, State Finance Commissions and the Article
- 279A GST Council institutionally and functionally distinct.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Keep Article 280 Finance Commission, State Finance Commissions and the Article.

01 STAGE 01 — ARTICLE 280 INSTITUTION AND AWARD LIFECYCLE

ARTICLE 280 INSTITUTION AND AWARD LIFECYCLE · PRESIDENT CONSTITUTES EVERY FIFTH YEAR OR EARLIER IF NECESSARY. · CHAIRMAN + FOUR OTHER MEMBERS. · FINANCE COMMISSION ACT, 1951 · PUBLIC-AFFAIRS EXPERIENCE. · OTHER MEMBERS · JUDICIAL QUALIFICATION · GOVERNMENT FINANCE/ACCOUNTS FINANCIAL ADMINISTRATION

President constitutes every fifth year or earlier if necessary. → Chairman + four other members. → FINANCE COMMISSION ACT, 1951 → Chairman → public-affairs experience. → Other members → judicial qualification

CONSTITUTIONAL BASIS / ARTICLE

- President constitutes every fifth year or earlier if necessary.
- Chairman + four other members.
- FINANCE COMMISSION ACT, 1951

POWER / PROCEDURE

- Chairman → public-affairs experience.
- Other members → judicial qualification
- government finance/accounts financial administration

CHECK / LIMIT

- OPERATING DESIGN
- President appoints and fixes terms through constituting order
- Commission determines procedure → civil-court-type evidentiary powers.

FEDERAL / RIGHTS IMPACT

- ARTICLE 281 recommendations + explanatory memorandum on action taken
- laid before each House of Parliament.
- LIMIT recommendations are expert and advisory, not self-executing decrees.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Other members → judicial qualification | government finance/accounts financial administration | economics.

02 STAGE 02 — DIVISIBLE POOL AND TWO-STAGE TAX DEVOLUTION

DIVISIBLE POOL AND TWO-STAGE TAX DEVOLUTION · GROSS UNION TAX COLLECTION MINUS COLLECTION COST · CAG-CERTIFIED NET PROCEEDS. · ARTICLE 271 SURCHARGES + APPLICABLE SPECIFIC-PURPOSE CESSES. · ARTICLE 270 DIVISIBLE POOL · VERTICAL SHARE FOR ALL STATES · HORIZONTAL ALLOCATION AMONG STATES. · CALCULATION FIREWALL

GROSS UNION TAX COLLECTION minus collection cost → CAG-certified net proceeds. → Article 271 surcharges + applicable specific-purpose cesses. → ARTICLE 270 DIVISIBLE POOL → vertical share for all States → horizontal allocation among States.

CONSTITUTIONAL BASIS / ARTICLE

- GROSS UNION TAX COLLECTION minus collection cost — CAG-certified net proceeds.
- Article 271 surcharges + applicable specific-purpose cesses.

POWER / PROCEDURE

- ARTICLE 270 DIVISIBLE POOL
- vertical share for all States

CHECK / LIMIT

- horizontal allocation among States.
- CALCULATION FIREWALL

FEDERAL / RIGHTS IMPACT

- State X devolution = divisible pool x vertical percentage x State share.
- 41% applies to shareable net proceeds, not gross tax revenue.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 41% applies to shareable net proceeds, not gross tax revenue.

03 STAGE 03 — HORIZONTAL FORMULA: EQUITY, COST AND INCENTIVES

HORIZONTAL FORMULA · EQUITY, COST AND INCENTIVES · FORMULA PURPOSES NEED/EQUITY · SERVICE COST · DEMOGRAPHIC INCENTIVE · FC-15, 2021-26 INCOME DISTANCE 45 · POPULATION 15 · AREA 15

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
FORMULA PURPOSES need/equity	population 15	FC-16, 2026-31	area 10 forest 10
service cost	area 15	GSDP distance 42.5	GDP contribution 10.
demographic incentive	demographic 12.5 forest/ecology 10	population 17.5	TEST equity remains dominant; but contribution gains explicit weight.
FC-15, 2021-26 income distance 45	tax/fiscal effort 2.5.	demographic 10	

CONSTITUTIONAL BASIS / ARTICLE

- FORMULA PURPOSES need/equity
- service cost
- demographic incentive
- FC-15, 2021-26 income distance 45

POWER / PROCEDURE

- population 15
- area 15
- demographic 12.5 forest/ecology 10
- tax/fiscal effort 2.5.

CHECK / LIMIT

- FC-16, 2026-31
- GSDP distance 42.5
- population 17.5
- demographic 10

FEDERAL / RIGHTS IMPACT

- area 10 forest 10
- GDP contribution 10.
- TEST equity remains dominant; but contribution gains explicit weight.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TEST equity remains dominant, but contribution gains explicit weight.

04 STAGE 04 — GRANTS UNDER ARTICLES 275 AND 282

GRANTS UNDER ARTICLES 275 AND 282 · ARTICLE 275 · PARLIAMENT MAY PROVIDE GRANTS-IN-AID OF REVENUES OF STATES IN · FINANCE COMMISSION ROLE RECOMMEND PRINCIPLES GOVERNING ARTICLE 275 GRANTS · ARTICLE 282 · UNION OR STATE MAY MAKE GRANTS FOR ANY PUBLIC · BHIM SINGH (2010) SUPPORTS THE BREADTH OF ARTICLE 282 · TAX DEVOLUTION GRANT SHARE IN COMMON TAX POOL TRANSFER

ARTICLE 275

Parliament may provide grants-in-aid of revenues of States in need and constitutionally specified welfare/administration grants. → FINANCE COMMISSION ROLE recommend principles governing Article 275 grants and award-specific grant categories within terms → ARTICLE 282

CONSTITUTIONAL BASIS / ARTICLE

- ARTICLE 275
- Parliament may provide grants-in-aid of revenues of States in need and constitutionally specified welfare/administration grants.

POWER / PROCEDURE

- FINANCE COMMISSION ROLE recommend principles governing Article 275 grants and award-specific grant categories within terms of reference.
- ARTICLE 282

CHECK / LIMIT

- Union or State may make grants for any public purpose even beyond the ordinary legislative field.
- Bhim Singh (2010) supports the breadth of Article 282 public-purpose grants.

FEDERAL / RIGHTS IMPACT

- TAX DEVOLUTION GRANT share in common tax pool transfer for need/purpose/design formulaic entitlement may be conditional or category-specific.
- Finance Commission grant, Article 282 grant and centrally sponsored scheme are not synonyms.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Finance Commission grant, Article 282 grant and centrally sponsored scheme are not synonyms.

05 STAGE 05 — LOCAL-BODY AUGMENTATION THROUGH STATE FINANCE COMMISSIONS

LOCAL-BODY AUGMENTATION THROUGH STATE FINANCE COMMISSIONS · 73RD AND 74TH AMENDMENT LINK · ARTICLE 280(1)(BB) · AUGMENT STATE CONSOLIDATED FUND FOR PANCHAYATS. · ARTICLE 280(1)(C) · AUGMENT STATE CONSOLIDATED FUND FOR MUNICIPALITIES. · TEXTUAL BASIS RECOMMENDATIONS OF THE STATE FINANCE COMMISSION UNDER · FLOW LOCAL FUNCTIONS AND FINANCES

73RD AND 74TH AMENDMENT LINK → Article 280(3)(bb) — augment State Consolidated Fund for Panchayats. → Article 280(3)(c) — augment State Consolidated Fund for Municipalities. → TEXTUAL BASIS recommendations of the State Finance Commission under Articles 243I and 243Y. → FLOW local functions and finances → SFC assessment

CONSTITUTIONAL BASIS / ARTICLE

- 73RD AND 74TH AMENDMENT LINK
- Article 280(3)(bb) — augment State Consolidated Fund for Panchayats.
- Article 280(3)(c) — augment State Consolidated Fund for Municipalities.

POWER / PROCEDURE

- TEXTUAL BASIS recommendations of the State Finance Commission under Articles 243I and 243Y.
- FLOW local functions and finances → SFC assessment
- Union Finance Commission augmentation recommendation

CHECK / LIMIT

- Union budget/guidelines → State fund → eligible local bodies.
- ACCOUNTABILITY accounts + audit + timely SFCs + transparent release + service outcomes.
- Union local-body grants supplement; they do not replace State devolution, own revenue or the constitutional role of State Finance Commissions.

FEDERAL / RIGHTS IMPACT

- CLOSE DISTINCTION: Vertical devolution applies to Article 270 net proceeds, not gross tax revenue
- Article 271 surcharges and applicable cesses stay outside the divisible pool.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Vertical devolution applies to Article 270 net proceeds, not gross tax revenue; Article 271 surcharges and applicable cesses stay outside the divisible pool.

06 STAGE 06 — DISASTER FINANCE: RESPONSE, MITIGATION AND RELEASE CONTROLS

DISASTER FINANCE · RESPONSE, MITIGATION AND RELEASE CONTROLS · DISASTER-MANAGEMENT FINANCE · FINANCE COMMISSION WORKS WITH THE DISASTER MANAGEMENT ACT FRAMEWORK · STATE LEVEL · SDRF RESPONSE + SDMF MITIGATION. · NATIONAL LEVEL · NDRF RESPONSE + NDMF MITIGATION.

DISASTER-MANAGEMENT FINANCE

Finance Commission works with the Disaster Management Act framework. → STATE LEVEL → SDRF response + SDMF mitigation.

CONSTITUTIONAL BASIS / ARTICLE

- DISASTER-MANAGEMENT FINANCE
- Finance Commission works with the Disaster Management Act framework.
- STATE LEVEL

POWER / PROCEDURE

- SDRF response + SDMF mitigation.
- NATIONAL LEVEL
- NDRF response + NDMF mitigation.

CHECK / LIMIT

- FC-16 FIVE-YEAR ENVELOPES
- State funds: Rs 2,04,401 crore
- national funds: Rs 79,406 crore.

FEDERAL / RIGHTS IMPACT

- CONTROL award envelope != annual budget != release != expenditure.
- Conditions, contribution ratios, accounts and events govern access.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Conditions, contribution ratios, accounts and events govern access.

07 STAGE 07 — FC-14, FC-15 AND FC-16: DATED AWARD TRAJECTORY

FC-14, FC-15 AND FC-16 · DATED AWARD TRAJECTORY · FOURTEENTH FINANCE COMMISSION · STATES' VERTICAL SHARE RAISED FROM 32% TO 42%. · FIFTEENTH FINANCE COMMISSION · 41% VERTICAL SHARE; SIX HORIZONTAL CRITERIA INCLUDING DEMOGRAPHIC PERFORMANCE · SIXTEENTH FINANCE COMMISSION CONSTITUTED 31 DECEMBER 2023 · REPORT SUBMITTED 17 NOVEMBER 2025

FOURTEENTH FINANCE COMMISSION: 2015-20 → States' vertical share raised from 32% to 42%. → FIFTEENTH FINANCE COMMISSION: 2021-26 → 41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort. → SIXTEENTH FINANCE COMMISSION constituted 31 December 2023 → report submitted 17 November 2025

CONSTITUTIONAL BASIS / ARTICLE

- FOURTEENTH FINANCE COMMISSION: 2015-20
- States' vertical share raised from 32% to 42%.
- FIFTEENTH FINANCE COMMISSION: 2021-26

POWER / PROCEDURE

- 41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort.
- SIXTEENTH FINANCE COMMISSION constituted 31 December 2023 → report submitted 17 November 2025
- award period 2026-27 to 2030-31

CHECK / LIMIT

- Explanatory Memorandum tabled 1 February 2026.
- DATED CONTROL
- 41% vertical share accepted for 2026-31.

FEDERAL / RIGHTS IMPACT

- Per-capita GSDP distance carries the largest horizontal weight, 42.5%
- GDP contribution appears with 10% weight.
- LIMIT report recommendations, government acceptance and annual implementation must remain separate.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT report recommendation, government acceptance and annual implementation must remain separate.

08 STAGE 08 — FC-16 GRANTS, FISCAL ROADMAP AND RESPONSE STATUS

FC-16 GRANTS, FISCAL ROADMAP AND RESPONSE STATUS · FC-16 REPORT · GOVERNMENT RESPONSE · 41% VERTICAL SHARE + REVISED HORIZONTAL FORMULA · LOCAL-BODY AND DISASTER GRANT DESIGNS · 3% STATE DEFICIT BASELINE · ACCEPTED IN PRINCIPLE. · UNION 3.5% PATH AND WIDER REFORMS

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
FC-16 REPORT — GOVERNMENT RESPONSE	3% State deficit baseline: accepted in principle.	FY 2026-27 BUDGET	3% State deficit baseline: accepted in principle.
41% vertical share + revised horizontal formula: accepted.	Union 3.5% path and wider reforms: separate examination.	Rs 1.4 lakh crore for local-body and disaster grants.	
Local-body and disaster grant designs: accepted.	No RDG, sector or State-specific grants recommended: taken note of.	STATUS RULE recommended != accepted != budgeted != released.	

CONSTITUTIONAL BASIS / ARTICLE

- FC-16 REPORT — GOVERNMENT RESPONSE
- 41% vertical share + revised horizontal formula: accepted.
- Local-body and disaster grant designs: accepted.

POWER / PROCEDURE

- 3% State deficit baseline: accepted in principle.
- Union 3.5% path and wider reforms: separate examination.
- No RDG, sector or State-specific grants recommended: taken note of.

CHECK / LIMIT

- FY 2026-27 BUDGET
- Rs 1.4 lakh crore for local-body and disaster grants.
- STATUS RULE recommended != accepted != budgeted != released.

FEDERAL / RIGHTS IMPACT

- 3% State deficit baseline: accepted in principle.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATUS RULE recommended != accepted != budgeted != released.

09 STAGE 09 — CESSES, SURCHARGES AND THE SHRINKING-BASE DEBATE

CESSES, SURCHARGES AND THE SHRINKING-BASE DEBATE · CONSTITUTIONAL EXCLUSION · ARTICLE 271 SURCHARGE AND APPLICABLE SPECIFIC-PURPOSE CESSES STAY OUTSIDE · MECHANISM MORE EXCLUDED LEVIES · DIVISIBLE POOL MAY LAG GROSS TAX REVENUE · 41% OPERATES ON A NARROWER BASE. · FC-16 POSITION NO CAP OR INCLUSION RECOMMENDATION; ANNUAL DISCLOSURE · REFORM LADDER DISCLOSURE

CONSTITUTIONAL BASIS / ARTICLE

- CONSTITUTIONAL EXCLUSION
- Article 271 surcharge and applicable specific-purpose cesses stay outside sharing.

POWER / PROCEDURE

- MECHANISM more excluded levies → divisible pool may lag gross tax revenue
- 41% operates on a narrower base.

CHECK / LIMIT

- FC-16 POSITION no cap or inclusion recommendation; annual disclosure of CAG-certified net proceeds.
- REFORM LADDER disclosure → periodic review/sunset → wider fiscal bargain

FEDERAL / RIGHTS IMPACT

- legal or constitutional redesign only if adopted.
- CONSTITUTIONAL EXCLUSION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REFORM LADDER disclosure → periodic review/sunset → wider fiscal bargain.

10 STAGE 10 — FINANCE COMMISSION, GST COUNCIL, CAG, NITI AND SFC

FINANCE COMMISSION, GST COUNCIL, CAG, NITI AND SFC · FINANCE COMMISSION · ARTICLE 280 · PERIODIC EXPERT BODY · TAX DEVOLUTION + GRANTS + FISCAL ADVICE. · GST COUNCIL · ARTICLE 279A · CONTINUING UNION-STATE FORUM

Article 280	periodic expert body	tax devolution + grants + fiscal advice.
Article 279A	continuing Union-State forum	GST recommendations and bargaining.
NITI AAYOG executive-resolution policy platform	strategy and cooperative dialogue no Article 280 transfer award.	
Articles 148-151	audits and certifies net proceeds under Article 279 does not allocate the divisible pool.	
Articles 243I/243Y	State-local fiscal relations every five years.	

CONSTITUTIONAL BASIS / ARTICLE

- FINANCE COMMISSION
- Article 280
- periodic expert body
- tax devolution + grants + fiscal advice.
- GST COUNCIL

POWER / PROCEDURE

- Article 279A
- continuing Union-State forum
- GST recommendations and bargaining
- Mohit Minerals (2022) — recommendations persuasive, not legislative commands.
- NITI AAYOG executive-resolution policy platform

CHECK / LIMIT

- strategy and cooperative dialogue no Article 280 transfer award.
- Articles 148-151
- audits and certifies net proceeds under Article 279 does not allocate the divisible pool.
- STATE FINANCE COMMISSION
- Articles 243I/243Y

FEDERAL / RIGHTS IMPACT

- State-local fiscal relations every five years.
- TRAP coordination, distribution, strategy, audit and State-local review are different functions.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP coordination, distribution, strategy, audit and State-local review are different functions.

11 STAGE 11 — PYQ ROUTES, TRAPS, REFORMS AND ANSWER SPINE

PYQ ROUTES, TRAPS, REFORMS AND ANSWER SPINE · CORE DEBATES CESSES/SURCHARGES AND DIVISIBLE-POOL EROSION · EQUITY VERSUS INCENTIVE DATA LAG AND CLIMATE/ECOLOGY COSTS · TIED SCHEMES VERSUS STATE AUTONOMY LOCAL-BODY ABSORPTION AND ACCOUNTABILITY · DEBT AND OFF-BUDGET OPACITY. · PRELIMS FIREWALL · CHAIR + FOUR · FIVE YEARS OR EARLIER

CORE DEBATES cesses/surcharges and divisible-pool erosion → equity versus incentive data lag and climate/ecology costs → tied schemes versus State autonomy local-body absorption and accountability → debt and off-budget opacity. → PRELIMS FIREWALL

CONSTITUTIONAL BASIS / ARTICLE

- CORE DEBATES cesses/surcharges and divisible-pool erosion
- equity versus incentive data lag and climate/ecology costs
- tied schemes versus State autonomy local-body absorption and accountability
- debt and off-budget opacity.
- PRELIMS FIREWALL

POWER / PROCEDURE

- five years or earlier
- President constitutes
- Article 281 requires report and memorandum vertical != horizontal
- Article 275 != Article 282
- SFC != Union Finance Commission

CHECK / LIMIT

- PYQ ROUTES
- 2018 constitution/ToR
- 2021 Fourteenth FC
- 2023 horizontal criteria
- 2025 Fifteenth FC facts

FEDERAL / RIGHTS IMPACT

- MARKS SPINE define imbalance → article chain → transfer mechanism → award evidence
- contested incentive/autonomy effect → implementation qualification
- predictable, transparent and accountable fiscal-federal verdict.
- LEGAL/SOURCE LIMIT: The Sixteenth Finance Commission report and February 2026 Explanatory
- Memorandum control the 2026-31 award: 41 per cent vertical share and the accepted six-criterion horizontal formula.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Memorandum control the 2026-31 award: 41 per cent vertical share and the accepted six-criterion horizontal formula.

E EXTRA — SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · FINANCE COMMISSION (ARTICLE 280) — ADVANCED · PART A — CONSTITUTION & COMPOSITION (ART 280) · PART B — FUNCTIONS · PART C — ADVISORY ROLE & FISCAL FEDERALISM · PART D — 16TH FINANCE COMMISSION (CURRENT) · WHAT THIS OWNER MUST NOW SUPPORT · RECOMMENDATIONS ARE ADVISORY, NOT BINDING — BUT (DR. P.V.

OPTIONAL DOCTRINE / CASE

- Finance Commission (Article 280) — ADVANCED / COMPLETE
- PART A — CONSTITUTION & COMPOSITION (Art 280)
- PART B — FUNCTIONS
- PART C — ADVISORY ROLE & FISCAL FEDERALISM

ADVANCED LIMIT

- PART D — 16th FINANCE COMMISSION (current)
- What this owner must now support
- CAUTION: Recommendations are advisory, NOT binding — but (Dr. P.V. Rajamannar , 4th FC chair) "should not be
- Till 2014 the FC's role was undermined by the Planning Commission (a non-constitutional, non- statutory

COMPARATIVE NUANCE

- "Net proceeds" = tax proceeds minus cost of collection , certified by the CAG (final).
- 16th FC chaired by Arvind Panagariya , constituted Dec-2023 ; award period 2026-31 . Report
- Vertical devolution retained at 41% of the divisible pool (states had demanded 50%) — same as the 15th FC.
- New horizontal formula adds a "Contribution to GDP" (10%) criterion:

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels